

Reading the Capital-Neutral Headline in the Basel III Endgame Re-Proposal

Varun Baid · FRM, CFA Level III Candidate

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Thesis. The agencies' combined estimate of a **4.8% reduction in CET1 requirements** for Category I and II firms is being read as a capital cut. It is better read as a net of three components moving in different directions, only one of which is structural. The Basel component still *raises* capital. The relief comes from the G-SIB surcharge and, more loosely, from stress testing, and those two have very different half-lives.

The composition matters more than the headline. A firm planning against 4.8% of relief is planning against a number whose largest and least certain input resets every year.

WHAT WAS PROPOSED

On 19 March 2026 the Federal Reserve, OCC and FDIC re-proposed the U.S. Basel III Endgame framework, with comments closing on 18 June 2026. Two changes matter more than the rest.

Scope narrowed sharply. The mandatory framework now applies only to Category I and II firms, the eight U.S. G-SIBs plus one additional institution, with optional adoption for others. The 2023 proposal reached every organisation above \$100 billion in assets. Category III and IV firms are therefore no longer the story here; their capital question is now largely the separate AOCI inclusion, estimated at **+3.1% CET1** with a five-year phase-in.

The dual stack is gone. A single Expanded Risk-Based Approach replaces the parallel standardised and advanced calculations. The re-proposal also drops the deduction for mortgage servicing assets in favour of a 250% risk weight, incorporates loan-to-value in mortgage risk weighting and repayment history in retail, treats fee-generating activity on a net basis in operational risk, and expands permitted internal model use in market risk.

WHERE THE 4.8% ACTUALLY COMES FROM

Decomposed, the agencies' own estimate looks materially different from the headline.

COMPONENT	EST. CET1 IMPACT	CHARACTER
Basel III Endgame (ERBA)	+1.4%	Structural, permanent
G-SIB surcharge recalibration	−3.8%	Structural, permanent
Stress testing changes	−4.3% to +1.9%	Scenario-dependent, annual
Combined, Category I & II	−4.8%	

Two observations follow. First, **the Basel piece is still a capital increase**. The framework that generated three years of industry objection has been re-calibrated downward but not reversed, and on the agencies' own numbers it adds requirement rather than removing it.

Second, **the widest band sits on the least durable component.** The stress-testing contribution spans more than six percentage points and is re-determined each cycle with the scenario. The surcharge relief, by contrast, is mechanical: the short-term wholesale funding coefficient falls from 30% to 20%, Method 2 coefficients are re-aligned to international standards and indexed to nominal growth going forward, the surcharge moves in 10 basis point increments rather than 50 basis point bands, and daily or monthly averaging removes the incentive to manage the year-end balance sheet. Those changes persist. The stress-test contribution does not.

WHERE THE ESTIMATE IS SOFT

- **Static balance sheets.** The estimates apply revised rules to current exposures and assume no behavioural response. Banks optimise risk-weighted assets, and historically a meaningful share of any modelled increase is mitigated through portfolio and model choices within the first two years. That cuts both ways here: it flatters the Basel increase and understates how quickly firms will spend the surcharge relief.
- **The binding constraint may not be the one being cut.** Relief in a non-binding constraint is worth little. For firms bound by the stress capital buffer or the supplementary leverage ratio rather than standardised RWA, the surcharge recalibration converts into far less usable capacity than the headline implies. The firm-level answer depends on which constraint binds, and that varies across the eight.
- **Two of the three components are not final.** The surcharge and stress-test changes travel as separate proposals on their own timelines. A combined figure assumes all three land broadly as drafted, which is an assumption rather than a finding.
- **The characterisation is contested.** Governor Barr disputed the claim that the re-proposal simply removes gold-plating above Basel minimums. That disagreement is about calibration philosophy, and it signals that the final rule may move again.

WHAT I WOULD WATCH

- **Disclosed RWA under ERBA versus the current standardised approach,** once firms begin reporting on the single stack. That is where the +1.4% either shows up or does not.
- **Operational risk RWA.** The net-basis treatment of fee income is the change most likely to produce a large firm-specific divergence, and it falls hardest on the card and payments-heavy balance sheets.
- **Buyback and distribution guidance** through the next two capital plan cycles. Management behaviour is the most honest read on whether firms believe the relief is real and durable.
- **Whether surcharge indexation survives comment.** Automatic indexing to nominal growth is the quietest change in the package and, compounded over a decade, plausibly the most consequential.

Impact estimates are the U.S. banking agencies' own figures for the March 2026 re-proposals, as summarised in published legal and industry analysis; they are not independently recalculated here. This note is an interpretation of published estimates rather than a firm-specific model. Principal sources: Freshfields, *Basel III Endgame, Take Two: 8 Key Takeaways from the Federal Banking Agencies' Capital Re-Proposals*; Sullivan & Cromwell, *Fed Vice Chair Bowman Previews Basel III, G-SIB Surcharge & Revised Standardized Approach Proposals*, March 2026. Views are my own.